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Polymarket

\$POLY token launch thesis

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Key Takeaways

Polymarket has product-market-fit: 2026 YTD annualized volume is about \$105B (+262% CAGR since December 2024), with 957M transactions and 700k+ monthly users, driving \$40M of chain revenue to Polygon PoS.

March 30 is the fee test: Midpoint fees range from 0.6% in sports to 1.8% in crypto; at 1% take, EBITDA could reach ~\$433M. A key near-term catalyst that could drive volume and offset higher fees into the end of the semester is the World Cup.

The case for POLY: In the base case, TGE FDV is \$8.5B FDV, or 42% of equity FDV. 2-year upside ranges at +86% to +242% upside, base case \$18B FDV; and +35% to +956% in tokenized equity, base case \$84B FDV.

Prediction markets are a duopoly: in March 2026, Polymarket + Kalshi made up ~82% of notional volume (Polymarket 44%, Kalshi 48%); Polymarket was more diversified, while Kalshi was concentrated in sports.

Automation is already part of the venue: 8 of the 10 top-PnL wallets are bot-driven. Prediction markets may become increasingly systematic/agentive as liquidity deepens and market count expands.

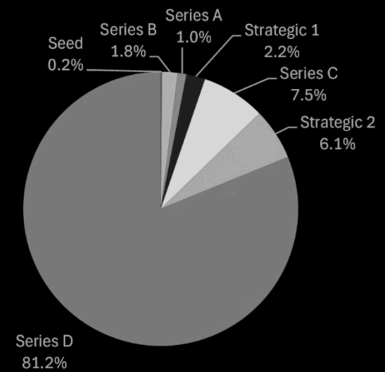
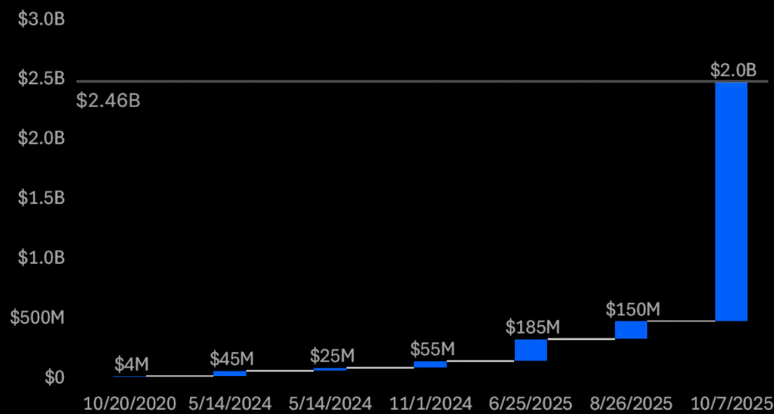
Background

Polymarket is a crypto-native prediction market deployed on Polygon PoS where users trade USDC-denominated event contracts across politics, economics, sports, and culture. Users trade future events and the odds become the forecast. The exchange of "yes/no" claims essentially turns prices into probabilities.

Founded in 2017, Polymarket has raised \$2.5B across 7 rounds and runs lean on ~40 employees. The latest round valued the company at \$9B, despite still being early on monetization (fee switch on March 30). Polymarket is rumored to be discussing a new round that could double the previous valuation to ~\$20B, similar to Kalshi's.

Polymarket has Raised ~\$2.5B in 7 Rounds

The latest round (Series D) valued the company at >\$9B and represented 81% of all capital raised



Data as of March 24th. Source: Alea, Messari



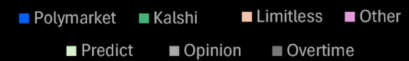
Aggregate prediction market KPIs are at all-time-highs. On a 2026 YTD annualized basis, Polymarket is supporting ~\$105B annual notional volume, 957M transactions (\$0.10 average value traded per transaction), and >700k monthly unique users. Current most traded markets are politics; including the 2028's Democratic Presidential Nominee, Presidential Election Winner and Republican Presidential Nominee.

Polymarket Dominates Distribution and Trading Activity

Monthly Active Users



Transactions (trades)



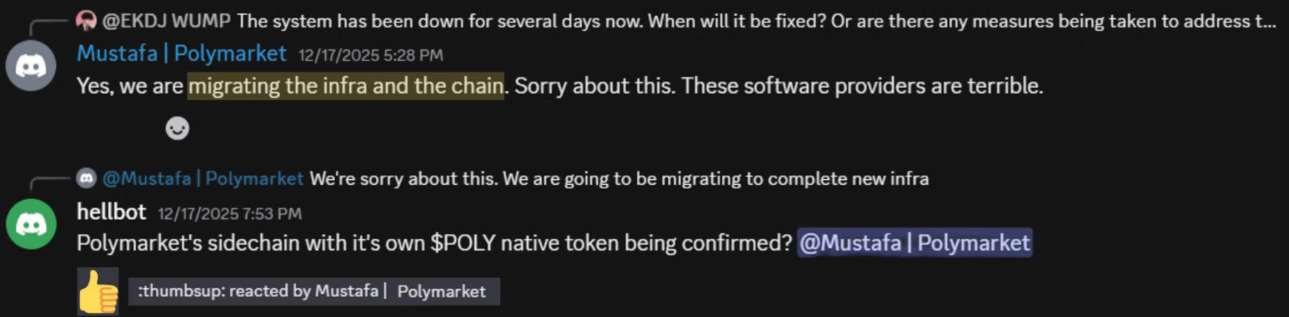
Metrics Monthalized (users not). Data as of March 24th. Source: Alea, Dune (@datadashboards)



The token remains unconfirmed, but the signs are there that it's a matter of time (CMO and dev mention) of a launch. It would be the clearest liquid instrument for gaining exposure to Polymarket before any public listing exists. The more important part is tokenomics: whether the token would represent a tokenized share of the company, or a token with revenue rights that align holders rather than only with the equity, with an equity tokenization also in the cards (token/equity are the same and there is no longer conflict).

Polymarket Dev Speaks About Chain Migration and Token

"We Are Migrating the Infra and the Chain" - Dec 2025, reacts with a thumbs up to \$POLY token and chain mention



Data as of March 11th. Source: Alea, Discord



The token launch process will likely begin with an announcement and a transition plan rather than an immediate switch, similar to how Base signaled its move away from the Optimism Superchain before the actual transition. Monitoring Polymarket's communication channels is key to stay ahead of the launch.

Market Leaders TGE: HYPE Case Study, POLY To Follow

Superior UI/UX leads to market leader in winner takes most markets, with the token launch steepening the growth curve



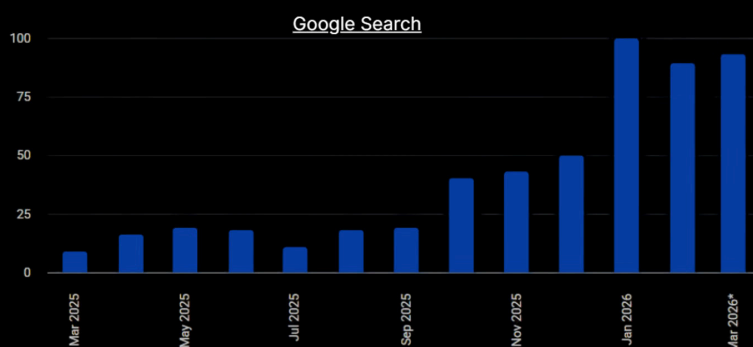
TGE = token generation event. *Estimate POLY token launch by EOY.
Data as of March 22th. Source: Alea, Polymarket, Hyperliquid



Similar to Hyperliquid, the moat came first, establishing itself as a market leader. Later, the token amplified the perceived upside of the opportunity.

Prediction markets have already reached the mainstream, with public discussions around politics, finance, and sports. They are the only crypto primitive that has succeeded in breaking out of the crypto-native chasm.

Polymarket's Search Interest Near All-time-Highs



Crypto-related Apps Web Visits in Nov-25

1	Robinhood	38.6 Million
2	Coinbase	32.8 Million
3	 Polymarket	19.9 Million
4	DraftKings	19.1 Million
5	FanDuel	16.4 Million

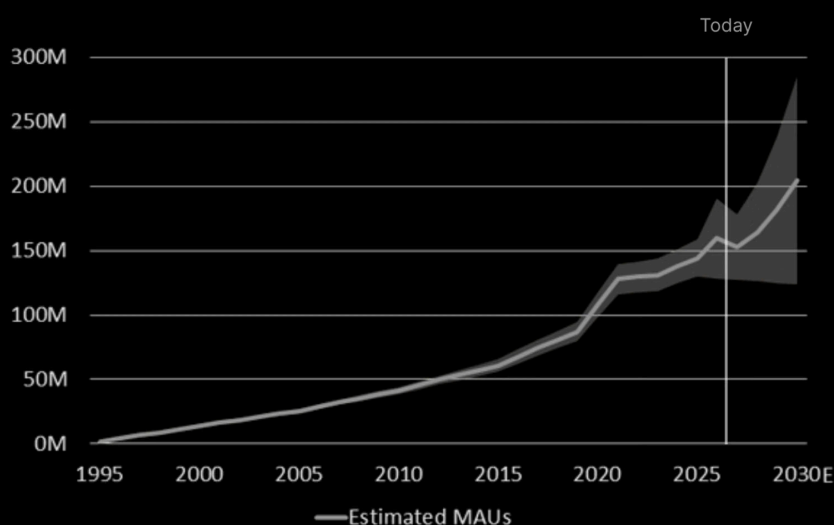
Previous all-time-high was set in Nov-24 during the election at 76. Website visits exclude mobile app usage.
Data as of March 24th. Source: Alea, The Block, SimilarWeb



Google search interest for “Polymarket” is 93, near the January 2026 highs and above the November 2024 election peak of 73. The app ranked at the top of finance during the election cycle, and has amassed a sticky user base since. Fiat onboarding and a seamless UX abstracting away the complexity of wallets and smart contracts definitely contributed to its success.

The “hypergambling” thesis is in full motion, even if the public emphasis on “financial nihilism” has subsided since the TRUMP and MELANIA days. Retail trading continues to find appeal across the globe, not just the U.S., facilitated by brokerage access via mobile apps, stablecoins, and the “perpetually online” younger generations. With an estimated total 800M retail accounts, 350M annual traders, 150M monthly traders, and 30M daily traders, Polymarket still captures only a small share of that base today, leaving meaningful room for both category growth and share gains.

Global Monthly Active Retail Traders



Total Accounts	~800M
Annual Traders	~350M
Monthly Traders	~150M
Daily Traders	~30M

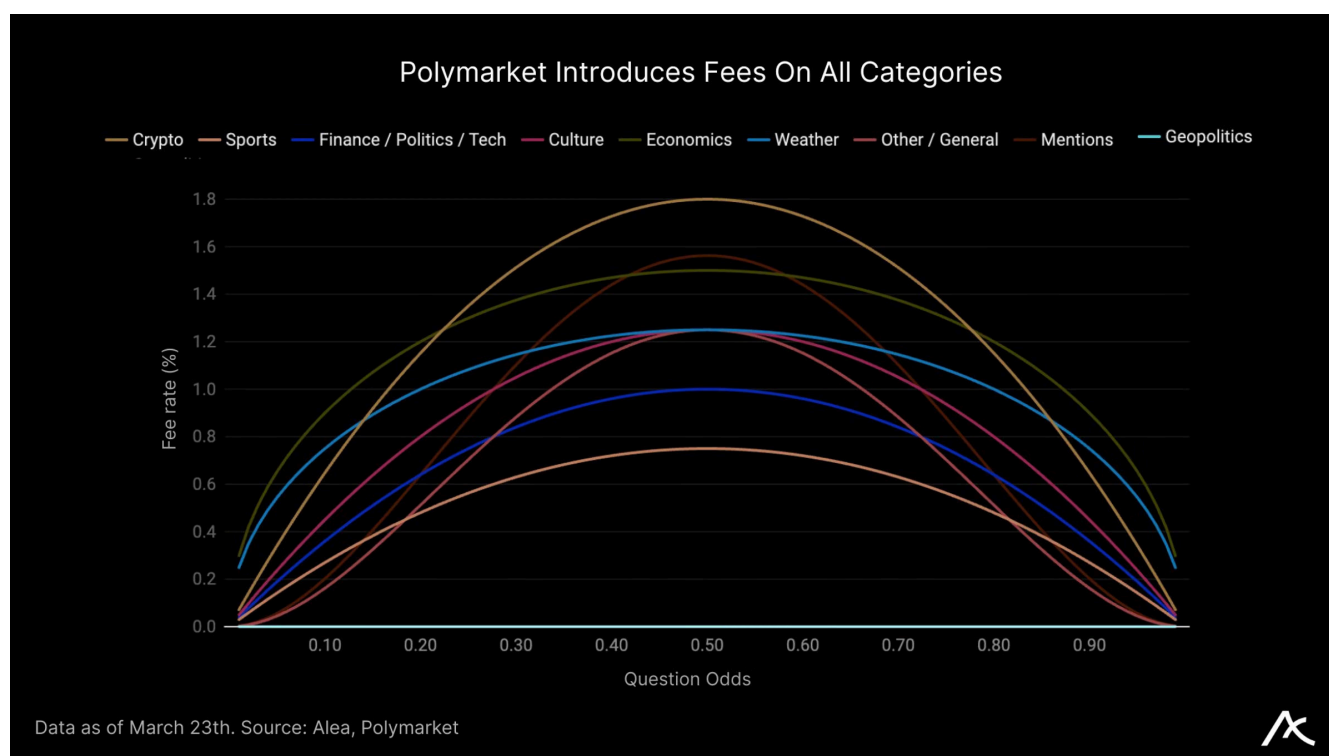
Data as of March 16th. Source: Alea, Syncracy (multiple sources)



Growth has been supported by recent developments including the Brahma [acquisition](#) (DeFi infrastructure), CFTC [approval](#) (regulation), the official [X](#) prediction-market partnership, and the UFC/Zuffa [partnership](#) (distribution).

Investment Thesis: \$POLY

Effective March 30, the [introduction](#) of fees across all markets moves monetization forward. The key question is whether Polymarket can do its fee-switch without damaging the book that made the venue valuable in the first place, whether impact will be minimal or large. Midpoint fees range from 0.6% in sports to 1.8% in crypto.



At the current volume run-rate, retention can change the earnings profile quickly. We can compare vs Kalshi's average fees to provide an external benchmark, with 1% serving as an upper-end sensitivity for Polymarket. On that take rate, Polymarket could generate roughly \$433M of earnings (EBITDA), which would imply about a 46x multiple against a \$20B private-market valuation.

Roughly 54% of collected fees are redistributed to market makers via rebate, leaving a 46% revenue margin on the current structure. That matters because Polymarket is still paying for book quality.

Polymarket Equity Economics

With an average 1% fee, \$433M in earnings; equity valued at ~21x P/E and 46x using the next round's ~\$20B valuation

Equity Economics			Prediction Markets Fees Annualized: Sensitivity Table							
Estimates	Previous Round Valuation	\$9B	Annual Volume	Average Fee						
	Next Round Est. Valuation	\$20B		0.25%	0.50%	0.75%	1%	1.25%	1.50%	
	2026 Volume Run-rate	\$105B								
	Pred. Markets Fees Avg	1%		\$25B	\$63M	\$125M	\$188M	\$250M	\$313M	\$375M
	Market Maker Rebates	54%		\$55B	\$138M	\$275M	\$413M	\$550M	\$688M	\$825M
	Total Revenue	\$1.1B		\$75B	\$188M	\$375M	\$563M	\$750M	\$938M	\$1.1B
	Expenses	\$50M		\$100B	\$250M	\$500M	\$750M	\$1.0B	\$1.3B	\$1.5B
	Market Maker Rebates	\$567M		\$150B	\$375M	\$750M	\$1.1B	\$1.5B	\$1.9B	\$2.3B
	Earnings	\$433M		\$300B	\$750M	\$1.5B	\$2.3B	\$3.0B	\$3.8B	\$4.5B
	P/S (Current)	9		\$400B	\$1.0B	\$2.0B	\$3.0B	\$4.0B	\$5.0B	\$6.0B
P/S (Next Round)	19	\$500B	\$1.3B	\$2.5B	\$3.8B	\$5.0B	\$6.3B	\$7.5B		
P/EBITDA (Current)	21									
P/EBITDA (Next Round)	46									

2026 volume run-rate is annualized notional volume based on year-to-date data
Data as of March 24th. Source: Alea, Dune (@datadashboards)



With a crypto-friendly SEC and CFTC, the backdrop for a token launch is better than it has been in years. The token case gets stronger if holders participate in retained economics rather than brand value and chain economics. Our base case assumes partial value accrual to token holders (10%). We apply a steep multiple premium (on equity's P/EBITDA) to reflect crypto's liquidity premium and retail bid (250% in the base case).

POLY: TGE FDV Model

If the token launches; \$24M-\$97M worth of revenue could be on the table; \$1.4B-\$23B in FDV

Token Economics (Estimate)	Bear	Base	Bull	Airdrop Estimate		Fees Estimate	
% Token Accrual of Pred. Markets Fees	5%	10%	20%				
Pred. Markets Fees Accrual (Net of Rebates)	\$24M	\$48M	\$97M				
Token Holder Revenue	\$24M	\$48M	\$97M				
Equity P/EBITDA (Next Round)	30	50	60				
Token P/S Premium	100%	250%	300%				
Token P/S	60	175	240				
Token FDV	\$1.4B	\$8.5B	\$23.2B				
% of Equity FDV (Next Round)	7%	42%	116%				
% Allocated to Airdrop	10%	20%	30%				
Airdrop Value	\$145M	\$1.7B	\$7.0B				

The token launch has not been confirmed. Figures are estimates derived from the Equity Economics table under a revenue-first model and may change materially if Polymarket does not allocate revenue to the token. Data as of March 24th. Source: Alea, Dune (@datadashboards)

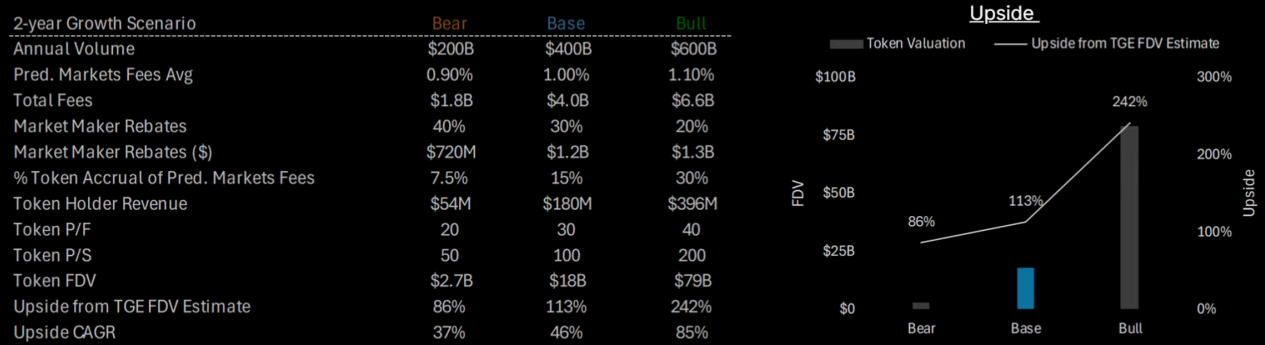


Our TGE FDV base case arrives at ~\$8.5B of FDV, or about 42% of equity FDV, based on an \$48M token-holder revenue stream sourced from prediction markets fees accrual (~10% of net fees). This assumes token holders receive an economically meaningful claim on that revenue and that the asset trades at ~175x P/S (FDV) in the base case.

In the case that Polymarket launches a non-equity token with utility and explicit value accrual, valuation upside in a 2-year horizon ranges from +86% to +242%, implying a 2.8x bull/bear risk-reward. In the base case, average fees maintain at 100 bps, while market-maker rebates fall as organic and onchain volume increase.

POLY: Token Upside Valuation

Base case \$180M token holder revenue; implied ~\$18B FDV, a +113% relative upside from POLY's TGE FDV model



The token has not been officially disclosed. Figures are estimates derived from the Equity Economics table under a revenue-first model and may change materially if Polymarket does not allocate revenue to the token. Data as of March 24th. Source: Alea, Dune (@datadashboards)



Under those assumptions, token-holder revenue could reach ~\$180M. At ~100 P/S on an FDV basis, that would imply ~\$18B of FDV (+113% upside from TGE FDV estimate).

The other path the team may pursue is to tokenize its equity, similar to how Galaxy became one of the first [companies](#) to do so; the model would translate into a company-wide valuation, where a slice of that ownership could be acquired through a token. Top line metrics remain the same as the token, but capturing 100% of prediction markets fees and trading at a lower multiple (30 P/S for the base case). The upside remains attractive: a +320% base case from the rumored \$20B round, to an \$84B valuation.

POLY: Tokenized Equity Upside Valuation

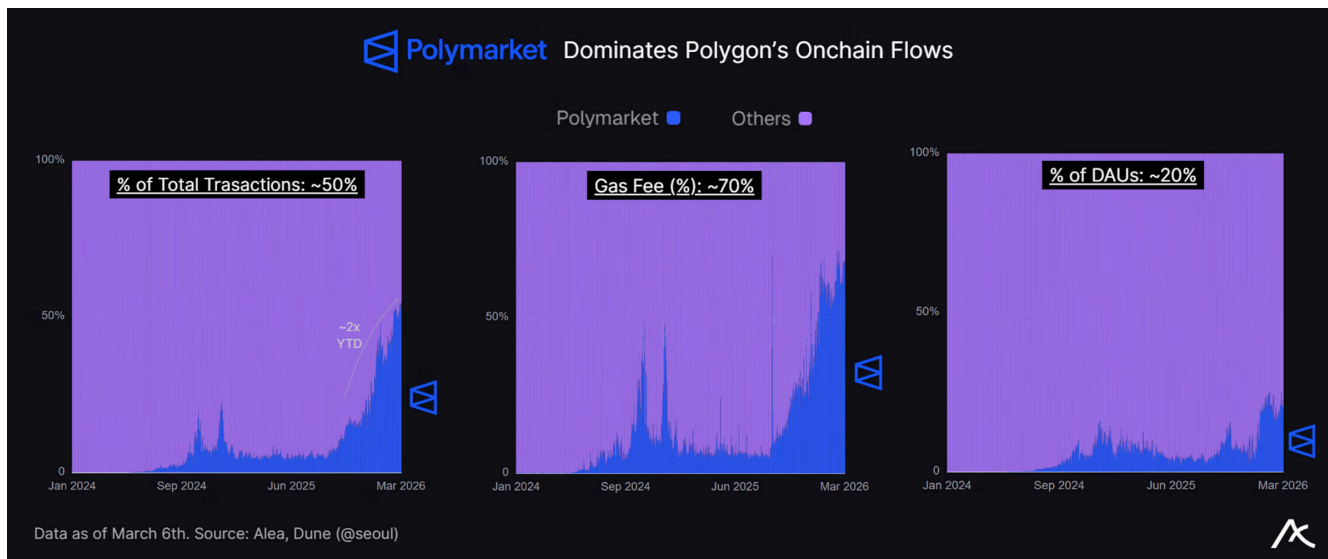
Base case \$2.8B revenue; implied ~\$84B FDV, +105% CAGR from \$20B Round



The token has not been officially disclosed. Figures are estimates derived from the Equity Economics table under a revenue-first model and may change materially if Polymarket does not allocate revenue to the token. Data as of March 24th. Source: Alea, Dune (@datadashboards)



Polymarket currently leaks value to Polygon at roughly a \$40M annualized run-rate, as covered in our recent [memo](#). The remaining trigger is how quickly, and how fully, Polymarket moves away from Polygon. We exclude chain-level monetization in the base case given likely gas abstraction (gasless), but note this could become incremental revenue via MEV, execution, and sequencing.



Additional utility can create incremental token demand. Exchange-style fee discounts or VIP tiering, as seen in HYPE, BNB, and MNT, can make holding the token economically rational for active users. That is upside to the estimates on top of the fundamental revenue drivers.

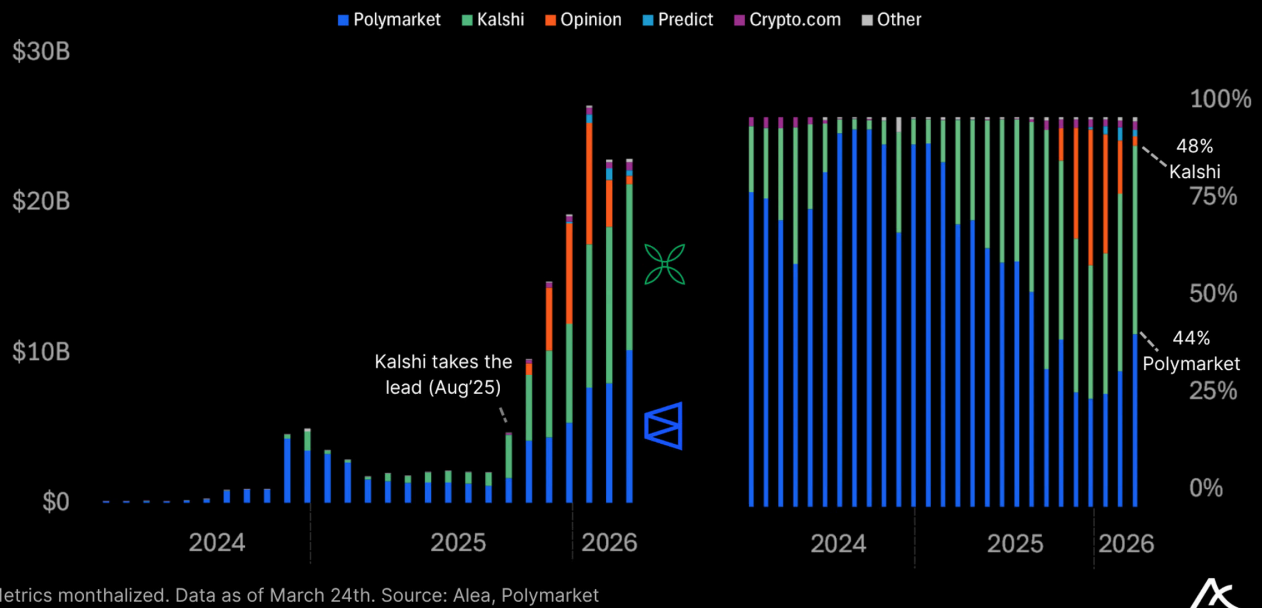
Another possible upside case is further vertical integration. Polymarket currently outsources parts of its execution logic to UMA's Optimistic Oracle v2, which processes ~7k monthly proposals with LLM automation and a two-hour dispute window, with 99% resolving undisputed. If Polymarket internalizes more of that stack over time, a specialized prediction-market oracle could become an additional onchain revenue stream.

Sector and User Cohorts

The main sector underwriting question came after the 2024 U.S. election, when prediction markets became mainstream, as to whether they had built a durable use case and business. Under a year following the event, KPIs hit new highs (H2-25), with Kalshi taking the notional volume lead since Q3-25. Absolute notional volume has grown at a +262% CAGR since December 2024, the election all-time-high.

Prediction Markets Notional Volume

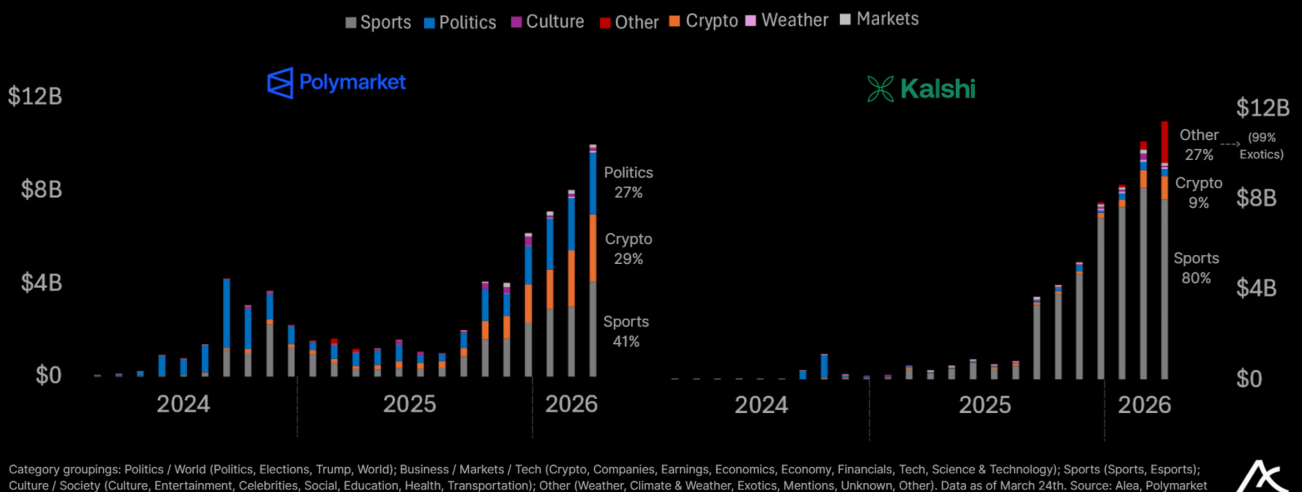
Duopoly between Polymarket and Kalshi (92% market share), with a failed attempt from points-driven platform Opinion



In March 2026, Polymarket and Kalshi accounted for ~82% of total volume. Polymarket's mix was more diversified, with sports at 41%, crypto at 29%, and politics at 27% of March volume. Kalshi was much more concentrated, with sports representing 80% of volume.

Volume by Category

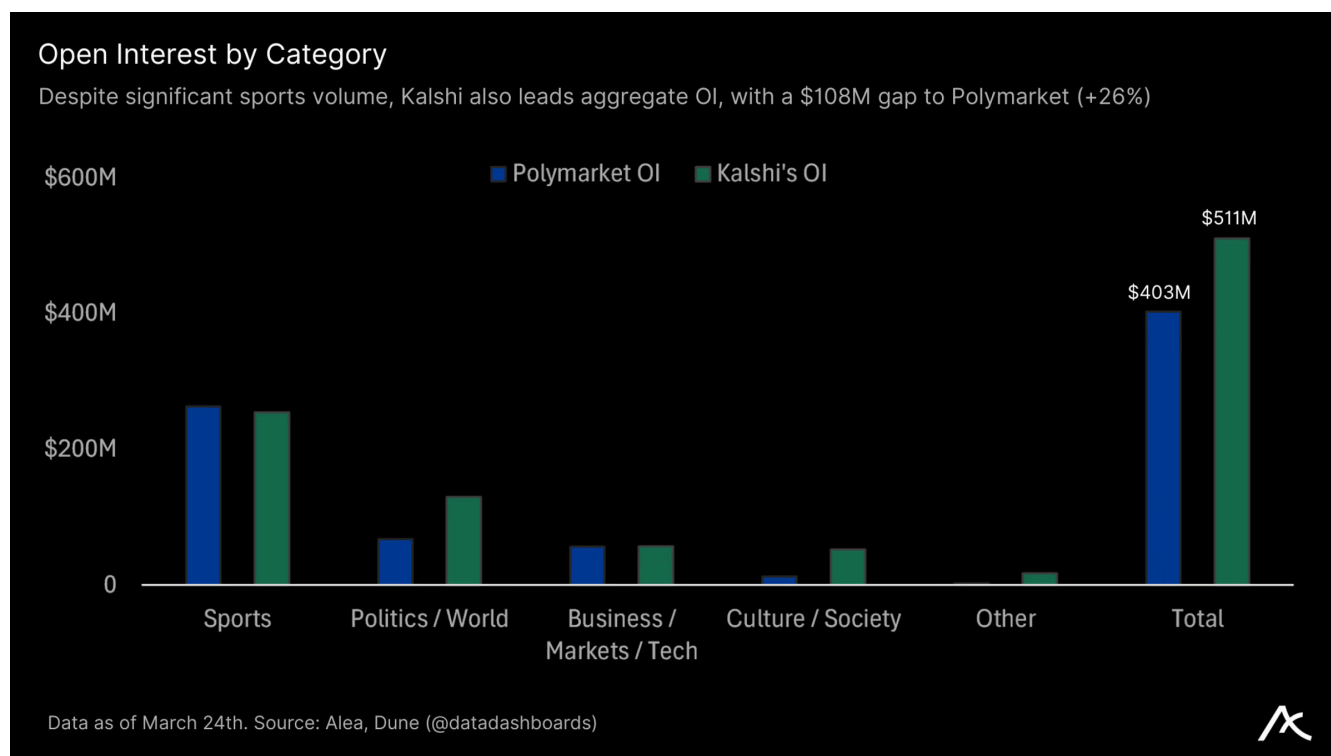
Polymarket's volume comes from an equally diversified mix of sports, crypto and politics. Kalshi's is sports-driven



Despite having a more diversified volume mix, Polymarket still trails Kalshi in aggregate open interest. Polymarket's sports OI is only \$68M, or 17% of total, while politics and world markets account for \$264M, or 65%. Kalshi's OI remains more concentrated in sports, broadly in line with its volume mix.

Polymarket's turnover against open interest also suggests a more capital-efficient book in the categories where it leads. Polymarket runs at ~10.6x aggregate monthly volume relative to open interest, Kalshi at ~11.4x and Opinion at ~31.7x. Second-tier venues remain small or unstable. Opinion is the

cleanest example, where points-incentivized volume crashed by -90% in OI YTD, and -52% drawdown in its native OPN token (post-airdrop capital exodus).



Duopoly: Liquidity begets Liquidity

Prediction markets show winner-takes-all dynamics, with activity concentrating around the deepest books. Liquidity is the pre-requisite for achieving “wisdom of the crowds,” or market information that facilitates forecasting via efficient markets. With its order book depth, Polymarket’s long track record and distribution constitute a moat that’s extremely hard for newcomers to replicate.

The risk to U.S. sports-driven volume and OI is now higher: a bipartisan bill to ban sports prediction-market contracts, dubbed the ‘Prediction Markets Are Gambling Act,’ was introduced on [March 24](#).

On a relative comparison, traditional U.S. sports betting remains much larger in absolute dollars, with [\\$167B](#) annual volume and \$17B in revenue in the US, but the product is structurally different. Prediction markets offer continuous pricing, visible liquidity, and a more market-driven user experience, which supports better price discovery and, in edge cases, more efficient execution.

The main risks to the long POLY thesis are: no token launch, weaker-than-expected token-holder rights and rising competition. Main players to worry about are Kalshi with its regulated and already dominant position; Hyperliquid HIP-4 markets where crypto-natives are already acquired (testnet launched in March); and dark horse legacy players that are launching prediction markets, such as CME, Cboe, ICE, Robinhood (acquired MIAxdx), Interactive Brokers (ForecastEx), and Coinbase.

Polymarket still holds the strongest position in global permissionless volume, crypto-native liquidity, and political-market branding, whereas Kalshi still holds the U.S. institutional and regulatory position. The most likely outcome remains coexistence rather than winner-take-all. Market makers need >1 venue to

trade and arb, so a fairly divided duopoly long-term outcome is most likely.

Optionality: Systematic and Agentic Trading

The venue that can distribute and support liquidity across that long tail is better positioned to capture the pricing dislocations where market makers, agents, and trading bots can become core contributors.

More tradable markets mean more recurring volume and a broader surface for value capture. In smaller or less efficient markets, bots can become a meaningful share of both quoted liquidity and execution. Over time, that could support a broader stack of market-making vaults, cross-market strategies, and directional models built around prediction markets.

A meaningful share of Polymarket's flow already is automated: 8 of the 10 top-PnL wallets are bot-driven, versus 3 of the 10 worst-performing wallets.

Polymarket's Top Winners Are Bots, While Top Losers Are Not				
Top 10 Winners				
Trader	Total PnL	Win Rate	Volume	Balance
kch123 BOT	\$11.4m	52.3%	\$255.2m	\$1.1m
DrPufferfish BOT	\$5.8m	47.2%	\$212.2m	\$1.4m
swisstony BOT	\$5.6m	51.7%	\$548.8m	\$4.3m
RN1 BOT	\$5.6m	51.8%	\$267.8m	\$316.3k
gmanas BOT	\$5.8m	52.2%	\$529.8m	\$3
432614799197 BOT	\$4.5m	48.2%	\$185.5m	\$1
GamblingIsAllYouNeed BOT	\$4.4m	53.7%	\$263.7m	\$681.6k
SeriouslySirius	\$3.6m	58.2%	\$192.6m	\$8
6Cottrell93 BOT	\$3.4m	42.9%	\$15.8m	\$66.6k
beachboy4	\$3.3m	53.2%	\$194.8m	\$6.1m
Top 10 Losers				
Trader	Total PnL	Win Rate	Volume	Balance
0x492442EaB5	-\$9.9m	47.6%	\$385.5m	\$1.1m
bossoskil1	-\$5.9m	49.8%	\$118.7m	\$7
anoin123 BOT	-\$4.8m	61.8%	\$54.8m	\$578.8k
0x5375761 BOT	-\$3.3m	48.2%	\$128.9m	\$1.3m
comon119	-\$2.8m	48.1%	\$129.4m	\$16.7k
smoothmove	-\$2.7m	8.8%	\$5.8m	\$754.8k
ABC123ABC	-\$2.6m	8.8%	\$6.6m	\$21.8k
AsianDogEater	-\$2.5m	38.4%	\$18.5m	\$188.3k
hotdogcat BOT	-\$2.4m	48.8%	\$46.8m	\$1.1m
bossoskil	-\$2.2m	48.8%	\$182.8m	-

Data as of March 20th. Source: Alea, Parity

Retail flow can also create pricing dislocations, especially on platforms that control distribution. The venue that owns user flow often has the most leverage over matching, incentives, and monetization. Retail traders also tend to lose money over time, as reflected in the [93%](#) share of wallets currently in loss. If agents handle more trading in the future, the front end may become simpler for users while execution underneath becomes more systematic.

Vitalik Buterin makes a key point in his 2024 “Info Finance” [essay](#): AI enables scalable, high-quality participation in micro-markets that would otherwise be too small to attract human traders, materially expanding the design space for prediction markets.

Conclusion

Polymarket is the clear diversified market leader in prediction markets and offers high beta to the growth of both retail speculation and more systematic, agent-driven trading activity. Polymarket is the most likely to launch a token; Kalshi isn't because of regulation and KYC, Hyperliquid already launched, Opinion and others are being faded. If prediction markets continue compounding as a distinct speculative category. There is currently no token and no announced TGE, but credible internal signals suggest the probability is

high enough to start paying attention now. Two paths are possible: a non-equity token with utility and value accrual, or tokenized equity. A utility token could launch at a \$8.5B TGE FDV, the setup looks attractive, with a 2-year outlook for 2.8x bull/bear risk-reward, assuming the token carries explicit value accrual and trades on fundamentals, with a base case of \$18B FDV (+113% from TGE). With tokenized equity, the upside is asymmetric at +320% base case of \$84B FDV.

References

[Polymarket Docs — Fee Structure](#)

[Dune \(@datadashboards\)](#)

[Dune \(@witcheer\)](#)

[DefiLlama](#)

[Alea Research — POL Memo](#)

[Syncracy — The Great Perpification](#)

[Vitalik Buterin — Info Finance Essay](#)

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